Unit 1 Section 2 – The Market

Quick-Fire & IAL-Style Teacher Pack

Section 1: Demand (Slides – Demand 2024)

- Quick Questions
    - • Define demand [2].
    - • State the law of demand [2].
    - • List two non-price factors that cause a shift in demand [2].
    - • Explain one reason why demand for luxury goods might rise when incomes increase [4].
    - • What is meant by a contraction in demand [2]?
    - • Construct a demand curve to show the effect of an increase in income on a normal good [4].
    - • Explain one cause of a shift in the demand curve [4].
    - • How might consumer preferences affect market demand [4]?
    - • Why is price and demand often inversely related [4]?
    - • Explain how substitute goods influence demand for a product [4].
- IAL-Style Exam Tasks
    - • Define the term demand [2].
    - • Explain one factor that could lead to an increase in demand for smartphones [4].
    - • Construct a demand curve diagram and explain the effect of rising incomes on equilibrium [6].
    - • Discuss how consumer income and advertising may influence demand for electric cars [8].
    - • Evaluate the extent to which changes in consumer tastes affect total market demand [10].
- Plenary Question
    - • Which has a stronger impact on demand — price changes or non-price factors? Justify.

Section 2: Supply (Slides – Supply 2024)

- Quick Questions
    - • Define supply [2].
    - • State the law of supply [2].
    - • List two factors that cause a shift in supply [2].
    - • Construct a supply curve to show the effect of increased wages [4].
    - • Explain one reason why firms may increase supply when market prices rise [4].

- • Explain how indirect taxes can affect supply [4].
- • Define market equilibrium [2].
- • What happens to equilibrium price if supply decreases [4]?
- • Explain one impact of technological change on supply [4].
- • How can subsidies influence supply levels [4]?

- IAL-Style Exam Tasks

  - • Define the term supply [2].
  - • Explain one factor that could lead to a fall in supply [4].
  - • Construct a supply and demand diagram showing the effect of an increase in costs [6].
  - • Discuss how government subsidies influence supply decisions [8].
  - • Evaluate the extent to which supply-side factors determine market price [10].

- Plenary Question

  - • Is supply more influenced by production costs or government intervention? Justify.

Section 3: Price Elasticity of Demand (Slides – PED 2025)

- Quick Questions

  - • Define price elasticity of demand (PED) [2].
  - • Write the formula for calculating PED [2].
  - • Explain what is meant by elastic demand [2].
  - • Explain what is meant by inelastic demand [2].
  - • List two factors that influence PED [2].
  - • Interpret a PED value of -1.5 [4].
  - • Explain how PED affects total revenue [4].
  - • Construct a diagram showing the relationship between price, demand, and total revenue [4].
  - • Why might a business want to know its product's PED [4]?
  - • Explain one limitation of using PED when setting prices [4].

- IAL-Style Exam Tasks

  - • Define the term price elasticity of demand [2].
  - • Calculate PED given data for price and quantity demanded [4].
  - • Analyse how PED can help a firm make better pricing decisions [6].
  - • Discuss the usefulness of PED for a business facing competition [8].
  - • Evaluate whether PED is the most important factor when setting prices [20].

- Plenary Question

  - • Does understanding PED guarantee improved profitability? Justify.

Section 4: Income Elasticity of Demand (Slides – YED 2025)

- Quick Questions

- • Define income elasticity of demand (YED) [2].
- • State the formula for YED [2].
- • Distinguish between normal and inferior goods [2].
- • Interpret a YED value of +1.5 [4].
- • Interpret a YED value of -0.6 [4].
- • Explain why luxury goods have a high YED [4].
- • Explain why businesses might monitor YED values [4].
- • List two factors that affect YED [2].
- • Construct a diagram to show the effect of rising income on demand for luxury goods [4].
- • Explain how changes in the economic cycle can affect demand for inferior goods [4].

- IAL-Style Exam Tasks

  - • Define the term income elasticity of demand [2].
  - • Calculate YED from given data [4].
  - • Assess how a fall in income might affect a budget supermarket [6].
  - • Discuss how YED can help a business plan for changes in the economy [8].
  - • Evaluate the importance of YED in strategic decision making for a luxury car manufacturer [10].

- Plenary Question

  - • Is YED more useful for luxury firms or essential goods producers? Justify.